TAX CODES · STARTING A NEW JOB

New job, and too much tax on the first payslip?

If your new employer does not have your pay and tax details from the last job, you go onto an emergency code. The tax is worked out on that pay period alone, as though you earned that amount in every period of the year.

SPOTTING IT ON THE PAYSLIP

W1 M1 X

Check the tax code on your payslip. If it ends in W1, M1 or X, it is an emergency code. Some payroll software prints NONCUM instead.

> On a payslip it looks like 1257L W1: the 1257L gives you £12,570 tax-free a year, the W1 is the emergency ending.

WHO DOES NOT END UP ON ONE

P45

Give your new employer the P45 — the form your last job hands you when you leave — and you usually never go onto an emergency code at all.

> And you only have a tax code if you are paid through PAYE, the payroll system. Working for yourself, there is none.

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Not sure what your code means?

Send us the code from your payslip and we will tell you what it means.

0330 133 1886

General information. For your own situation, speak to an accountant.